

CH – 4 ACCRUALS & PREPAYMENTS – THEORETICAL MCQs

1. Which of the following statements are correct:

- i. Accrued expenses are those incurred but not yet paid.
- ii. Accrued income is income earned but not yet received.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

2. Which of the following statements are correct:

- i. Prepaid expenses are assets because they provide future benefits.
- ii. Unearned income is a liability because it represents income received in advance.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

3. Which of the following statements are correct:

- i. Accrued income increases both profit and liabilities.
- ii. Prepaid expenses increase assets and profit.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct**
- C. Both are correct
- D. None are correct

4. Which of the following statements are correct:

- i. The matching concept requires that income and related expenses be recorded in the same period.
- ii. Accruals and prepayments are made to comply with the matching principle.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

5. Which of the following statements are correct:

- i. Accrued expenses are recorded by debiting an expense and crediting a liability.
- ii. Accrued income is recorded by debiting an asset and crediting income.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

6. Which of the following statements are correct:

- i. Prepaid expense arises when payment is made before expense is incurred.
- ii. Unearned income arises when income is received before it is earned.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

7. Which of the following statements are correct:

- i. Failure to record accrued income will understate both profit and assets.
- ii. Failure to record accrued expenses will overstate both profit and liabilities.

Select the most appropriate answer.

- A. Only (i) is correct**
- B. Only (ii) is correct
- C. Both are correct
- D. None are correct

8. Which of the following statements are correct:

- i. Prepaid expenses are deducted from the relevant expense in the income statement.
- ii. Accrued income is added to the related income in the income statement.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

9. Which of the following statements are correct:

- i. Accrued expenses represent outstanding liabilities at year end.
- ii. Accrued income represent receivables at year end.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

10. Which of the following statements are correct:

- i. Unearned income is also known as income received in advance.
- ii. Accrued income is presented as an asset in statement of financial position

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

11. Which of the following statements are correct:

- i. Accrued expenses increase expenses and liabilities.
- ii. Accrued income increases income and assets.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

12. Which of the following statements are correct:

- i. Prepaid expense reduces expense in current year and increases asset.
- ii. Unearned income increases profit and decreases liability.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

13. Which of the following statements are correct:

- i. Adjustments for accruals and prepayments are made at the end of accounting period.
- ii. These adjustments are necessary only under cash basis of accounting.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

14. Which of the following statements are correct:

- i. When accrued expense is paid in next period, liability decreases and cash decreases.
- ii. When accrued income is received, one asset decreases and other asset increases.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

15. Which of the following statements are correct:

i. If prepaid rent is omitted, expenses will be overstated.

ii. If accrued salary is omitted, profit will be understated.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

16. Which of the following statements are correct:

i. Accrued expenses are shown under current liabilities in SOFP.

ii. Prepaid expenses are shown under current assets.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

17. Which of the following statements are correct:

i. Unearned income is deducted from total income to find income earned for the period.

ii. Accrued income is added to total income to find income earned for the period.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

18. Which of the following statements are correct:

i. Accrued expense and unearned income both create liabilities.

ii. Prepaid expense and accrued income both create assets.

Select the most appropriate answer.

A. Only (i) is correct

B. Only (ii) is correct

C. Both are correct

D. None are correct

19. Which of the following statements are correct:

- i. Prepaid expenses reduce the total expenses in current year.
- ii. Prepaid expense are charged as expense in the following year when benefit is received.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct**
- D. None are correct

20. Which of the following statements are correct:

- i. Failure to record unearned income will overstate liabilities.
- ii. Failure to record prepaid expense will overstate expenses.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct**
- C. Both are correct
- D. None are correct

21. Which of the following statements are correct:

- i. Adjusting entries for accruals and prepayments affect both SOCI and SOFP.
- ii. These adjustments have no impact on total profit of the business.

Select the most appropriate answer.

- A. Only (i) is correct**
- B. Only (ii) is correct
- C. Both are correct
- D. None are correct

22. Which of the following statements are correct:

- i. Accrual adjustments ensure that expenses are recognized when incurred, not when paid.
- ii. Prepayment adjustments ensure that income is recognized when received, not when earned.

Select the most appropriate answer.

- A. Only (i) is correct**
- B. Only (ii) is correct
- C. Both are correct
- D. None are correct

23. Which of the following statements are correct:

- i. Accrued expenses appear as “expenses payable” in the financial statements.
- ii. Unearned income may also be called “income payable.”

Select the most appropriate answer.

- A. Only (i) is correct**
- B. Only (ii) is correct

- C. Both are correct
- D. None are correct

24. Which of the following statements are correct:

- i. Accrual concept records transactions when cash is received or paid.
- ii. Cash basis records transactions when they occur regardless of cash flow.

Select the most appropriate answer.

- A. Only (i) is correct
- B. Only (ii) is correct
- C. Both are correct
- D. None are correct**

25. Which of the following statements are correct:

- i. Adjustments for accruals and prepayments are necessary to show correct profit and financial position.
- ii. Without these adjustments, assets and liabilities remain unaffected.

Select the most appropriate answer.

- A. Only (i) is correct**
- B. Only (ii) is correct
- C. Both are correct
- D. None are correct